

**BAKER
HUGHES**

Rpt Date 15/Aug/2006			Well Name/No Bilabri D 2			Section Name/No 12.25" pilot section #4			Mud System SYN-TEQ (PARA)											
Job# 1		Spud Date 05/Jul/2006			MD 1639.00 m			Progress 0.00 m		Present Activity Tripping										
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/ Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Paul Sheppard/Nolan Troy											
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN											
Drilling Assembly						Casing		Volumes	Pump Information											
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min			
12 1/4							19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194					
Drill Collars			Drill Pipe			13 3/8	12.415	1622.00	0	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194					
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	1639.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194					
									0											
									Tot Active											
									0											
									In Storage											
									1415	Surface to Bit		min/stks		Total System		min/stks				
										Bottoms Up		min/stks								
Mud Properties						Max Ann Velocity			Hole Information											
Property			Fluid Spec		1	2	3	AV Riser		ft/min		Standpipe Pressure		0 psi		Water Depth		152.00 m		
Sample From					Reserve				AV Casing		ft/min		Hole Flow		USgal/min		Riser Booster Rate		USgal/min	
Check Time					23:30				AV Open Hole		ft/min		Solids Analysis							
MD m					1639.00				Vc Open Hole		ft/min		Property		1	2		3	4	
TVD m					1639.00				Vc Drill Pipe		ft/min		LGS %		11.34					
Bit Depth m					0.00				Min Ann Velocity				LGS lb/bbl		103.37					
Inc deg					1.39				AV Riser		ft/min		HGS %		2.78					
Density ppg			10.00-10.50		10.00				AV Casing		ft/min		HGS lb/bbl		40.97					
Funnel Visc. sec/quart					55.0				AV Open Hole		ft/min		Avg Dens Sol sg		2.9152					
Test Temp degF					98.0				Bit Information											
Rheol Temp degF					120.0				Size											
PV cP					27				Hours On Bit											
YP lbf/100ft^2					20				Bit Number											
10sec Gel lbf/100ft^2					8				BHA Number				Rheology							
10min Gel lbf/100ft^2					10				Depth In				600 RPM		74					
HTHP Filtrate cc					4.2				Bit RPM				300 RPM		47					
HTHP Cake in/32					2.0				WOB				200 RPM		37					
HTHP Temp degF					250.0				Nozzles				100 RPM		24					
HTHP Pressure psi					500				Bit Hydraulics				6 RPM		8					
Retort Water %					16.0				TFA				3 RPM		7					
Retort Base Fluid %					68.0				Nozzle Vel		ft/sec									
Retort Solids %																				

**BAKER
HUGHES**

Rpt Date 15/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 05/Jul/2006		MD 1639.00 m		Progress 0.00 m		Present Activity Tripping
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/ Chris Newton			Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
				Rig BULFORD DOLPHIN			

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	0	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added	298	Weight Materials		Downhole		Left In Pit		Starting Volume	833	Riser w/o Pipe	215.7
Brine		Water		Cased Off		Trip Losses		Daily Additions	662.1	Casing w/o Pipe	709.3
Base Fluid	349	Product	15.1	Left In Hole		Injected		Daily Losses	80	Open Hole w/o Pipe	8.1
Recycled		Other		Discharged		Spill To Environment		Daily Volume	1415.1	String Displacement	50.8
				SCE		Onshore Disposal		Net Change	582.1	String Capacity	87.7
				Evaporation		Returned				Total Hole w/ Pipe	
				Other Losses	80					Total Active	
										Total Reserve	1415.0

Miscellaneous	16	Tripping	8				
---------------	----	----------	---	--	--	--	--

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	134893.93	Daily Product Cost	0.00	Primary Product	698647.38
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	40050.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	135793.93	Total Daily Cost	0.00	Primary Total	738697.38
Total Inventory Value	476823.53	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	414.53 UK ton

Products and Services														
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl

Bulk											
BARITE - Imported	1000 kg	258					258	540.00		0.16	0.12
Oil Based Product											
CARBO-GEL	25 kg	80				50	30	264.28	13214.00	2.65	3.85
MIL-LIME	25 kg	280					280	34.25		2.65	2.00
OMNI-COTE	55 USgal	8					8	2150.00			
OMNI-MUL	55 USgal	24				3	21	995.06	2985.18		0.85
OMNI-PLEX	55 USgal	16				5	11	1618.95	8094.75		1.42
OMNI-TEC	55 USgal	16					16	923.00			
PARA-TEQ	1 bbl		1069			395	674	280.00	110600.00		
Water Based Product											
CALCIUM CHLORIDE (97%)	50 lb	282					282	21.00		2.40	1.82
CAUSTIC SODA	25 kg	17					17	37.89		0.07	0.05
POTASSIUM CHLORIDE BRINE	1 bbl	189					189	46.85		99.15	75.01
XANTHANGUM D	25 kg	40					40	345.22		0.50	0.38
LCM											
CALCIUM CARBONATE - FINE	25 kg	200					200	21.68		0.02	0.01
CALCIUM CARBONATE - MED	25 kg	220					220	21.68		0.07	0.06
KWIKSEAL - MEDIUM	50 lb	39					39	70.52		0.06	0.04
MIL-PLUG FINE	50 lb	84					84	27.01			
MIL-SEAL MEDIUM	50 lb	90					90	36.00			
SOLUFLAKE F	50 lb	158					158	57.24			
SOLUFLAKE M	50 lb	80					80	57.24			
Other											
SAW DUST	25 kg	30					30	12.50			

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Billy Oonquywe/ Kuntle Olavinka	234-803-402-0440	Onne	234-84-462609	Lawson Ooaree	135793.93 USD	738697.38 USD	476823.53 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.